25901219 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSEECO205 - INTERNATIONAL FINANCE

(2024 ADMISSION ONWARDS)

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. FDI stands for [K] / [CO1]

   a). Foreign Development Index b). Foreign Direct Investment c). Fixed Deposit Interest d). Federal Deposit Inventory

2. When a country experiences high inflation, its central bank is most likely to: [K] / [CO2]

   a). Reduce interest rates b). Keep interest rates unchanged

   c). Increase interest rates d). Fix the exchange rate

3. Which of the following is the largest shareholder in AIIB? [U] / [CO3, CO4]

   a). India b). Russia

   c). South Africa d). China

4. [A] / [CO3]

Organise the following roles of a Bilateral Investment Treaty in logical sequence:

1. Encourage foreign investment
2. Provide legal protection to investors
3. Enhance investor confidence
4. Promote economic cooperation between countries

a).2, 3, 1, 4 b).1, 3, 2, 4

c).2, 1, 3, 4 d).3, 2, 1, 4

5. International Liquidity refers to [K] / [CO1]

a). equity held in stock market b). credit for consumers c). resevers kept by commercial banks d). assets for settling internationl payments

6. External Commercial Borrowings mainly refer to: [K] / [CO3]

a). Loans raised from domestic commercial banks . b). Short term trade credit from importers

c). Commercial loans raised from non resident lenders. d). Grants received from foreign governments.

7. [U] / [CO4]

Which countries are the main borrowers from IBRD in development finance?

a).High-income OECD countries b).Middle-income and creditworthy low-income countries

c).Only least developed countries d).Private multinational corporations

8. The sudden stop concept is strongly linked to the work of [U] / [CO3]

a). Milton Friedman b). Guillermo Calvo

c). John Maynard Keynes d). Paul Samuelson

9. Use of rupee in bilateral trade agreements is an example of [K] / [CO3, CO4]

a). Rupee depreciation b). Currency internationalization

c).Demonetization d). Cutrrency appreciaytion

10. A country shows stable GDP growth and low inflation, but faces frequent changes in government. From a country risk analysis perspective, this situation indicates : [An] / [CO2]

a). High economic risk but low political risk.

b). Moderate economic stability with high political risk.

c). Low financial risk and low political risk.

d). High economic risk due to policy uncertanity.

[1x10 = 10]

Part B

Short Answer Questions

Answer any **10** questions

Each question carries **3** marks

11. Explain how a country's currency appreciation affects its exports and imports? [U] / [CO1]

12. State the basic proposition of the International Fisher Effect. [K] / [CO2]

13. Explain the opportunities of currency convertibility for Indian businesses [U] / [CO1]

14. Why do central banks hold reserve currencies? [U] / [CO1, CO3]

15. Examine how multinational corporations contribute to a host country’s GDP growth. [U] / [CO3]

16. Write a note on India's role in BRICS. [U] / [CO4]

17. What is the basic difference between Absolute and Relatrive PPP theory. [U] / [CO2]

18. Mention two risks associated with excessive FPI inflows . [U] / [CO3]

19. Explain how international finance supports international trade. [U] / [CO1]

20. Differentiate between hedging and speculation. [U] / [CO2]

21. Explain how volatile capital flows affect the stock market. [U] / [CO3]

22. Examine the role of the G20 in promoting sustainable development. [U] / [CO4]

23. Define an International Financial Centre (IFC) and state its primary purpose in the global economy. [U] / [CO2]

[3x10 = 30]

Part C

Short Essay Questions

Answer any **5** questions

Each question carries **6** marks

24.	Compare the objectives and approaches of the G20 and BRICS in ensuring global financial stability.	[An] / [CO4]
25.	Describe the relationship between international trade, international business and international finance.	[U] / [CO1]
26.	Analyse the merits and demerits of flexible exchange rate system.	[An] / [CO3]
27.	How does currency convertibility impact a country's foreign trade and investment?	[U] / [CO1]
28.	Explain the components of a country's Balance of Payments.	[U] / [CO1]
29.	Explain the concept and features of Rupee Denominated bonds.	[U] / [CO3]
30.	Discuss the role of IMF in supporting the International Monetary System.	[U] / [CO1, CO3]

[6x5 = 30]